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U.S. Economics News:

- **Manufacturing Expansion:** The ISM Manufacturing Index hit 52.4 in February, marking consecutive months above 50 for the first time since early 2025. New orders reached 55.8, the highest reading in nearly four years outside of January, while order backlogs accelerated to 56.6 after 39 consecutive months of contraction, signaling manufacturers can finally reduce reliance on depleting inventories.[3]
- **Inflation Pressures:** Producer prices surged 0.5% in January, driven by a 14.4% spike in machinery and equipment wholesaling margins, pushing the prices paid index to 70.5. Despite the monthly jump concentrated in services (up 0.8%), year-over-year producer price growth moderated to 2.9%, suggesting temporary volatility rather than sustained inflationary momentum.[3]
- **Tariff Whiplash:** The Supreme Court struck down Trump's IEEPA tariffs on February 20, invalidating roughly $170 billion in collections, before a new 10% Section 122 tariff took effect. China's effective tariff rate dropped from 31% to 21%, while the 2025 average of 7.7% remains the highest since 1947 — even with legal setbacks, structural tariff rates will stay elevated at roughly 5.6% in 2026.[3]
- **Equity Rotation:** Technology stocks shed 3.4% year-to-date through February 20 despite generating 53.6% of revenue overseas, while defensive sectors led gains — Energy (+22.7%), Materials (+16.3%), and Industrials (+14.3%) — all with significant international exposure, marking a broad rotation away from last year's tech dominance.[3]
- **Earnings Momentum:** S&P 500 earnings growth estimates rose to 13.3% for 2025 and 13.7% for 2026, up from 11.2% and 12.8% in October. Information Technology leads with projected 32.7% earnings growth in 2026, while all eleven sectors now show positive earnings estimates after Energy and Consumer Staples previously faced declines.[3]
- **Geopolitical Tensions:** Oil prices jumped over 8% overnight following U.S. and Israeli strikes on Iran that killed the Ayatollah and successor, triggering the largest U.S. military buildup in the Middle East since the 2003 Iraq invasion. Treasury yields fell below 4% for the first time since November as investors fled to safety, though markets remain overvalued compared to 2003's post-dot-com undervaluation.[3]

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Digital Assets News:

- **Iran Crypto Shadow Economy:** Iran has constructed a sophisticated $7.8 billion cryptocurrency infrastructure to circumvent crippling U.S. economic sanctions, leveraging digital assets to facilitate international trade, access global financial markets, and maintain economic lifelines. This parallel financial system enables the regime to move value across borders while evading traditional banking restrictions, representing one of the most significant state-level adoptions of cryptocurrency for sanctions evasion.[5]
- **Clarity Act:** JPMorgan identifies potential passage of the Clarity Act by mid-2026 as a significant catalyst for the cryptocurrency sector, as this legislation would establish comprehensive regulatory frameworks for digital assets, reducing legal uncertainty that has long hindered institutional adoption and potentially unlocking substantial capital inflows from traditional financial institutions that have remained cautious amid ambiguous regulatory guidance.[5]
- **Banking Lobby Resistance:** Traditional banks view interest-bearing stablecoins as an existential threat to their deposit-based business model, which relies on paying minimal interest while lending at higher rates. The potential for consumers to shift funds into stablecoins offering competitive yields could force banks to raise deposit rates significantly, compressing profit margins and fundamentally disrupting the fractional reserve banking system that has underpinned their operations for decades.[5]
- **Hashrate Rebound:** The Bitcoin network's computational power recovered to 913 exahashes per second following a significant 20% decline from its October peak of approximately 1,141 EH/s. This drawdown, likely driven by seasonal factors, miner capitulation, or equipment upgrades, represented a notable but temporary disruption before the network's hash rate stabilized and began its recovery trajectory.[5]
- **USDC Growth:** Circle's USD Coin (USDC) circulation reached $75 billion in early 2025, marking a 72% year-over-year increase driven by institutional adoption, expanded DeFi integration, and growing demand for stablecoin-based cross-border payments. This surge positioned USDC as the second-largest stablecoin by market capitalization, reflecting broader confidence in regulated, dollar-backed digital assets amid increased regulatory clarity.[5]

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Geopolitics News:

- **Canada:** Signed a $1.91 billion uranium supply agreement with India through Cameco covering 2027-2035, part of broader energy partnership aimed at deepening ties and reducing economic reliance on the United States. The countries agreed to conclude a Comprehensive Economic Partnership Agreement this year, targeting doubled bilateral trade to $70 billion by 2030.[1]
- **Germany:** Approved reduced 2 billion euro framework deal for strike drone purchases, down from 4.3 billion euros previously envisioned, as lawmakers seek tighter control over future budgets. Parliament's budget committee approved first 540 million euro order for drones from German startups Helsing and Stark Defence, limiting total contract value per company to one billion euros.[1]
- **Iran:** Supreme Leader Ayatollah Ali Khamenei killed in US-Israeli attack on leadership compound in Tehran, with CIA having tracked him for months before learning of Saturday meeting of top officials. The 86-year-old's death brings new urgency to succession question, with Hassan Khomeini, 53-year-old grandson of Islamic Republic founder, likely to figure prominently in clerics' deliberations on replacement.[1]
- **Japan:** China imposed tougher export controls on 20 Japanese entities including Mitsubishi Heavy Industries' shipbuilding and aerospace affiliates, marking first time Japanese firms added to control list since January 2025 debut. Beijing also placed 20 additional entities including Subaru and Hino Motors on monitor list requiring stricter licensing checks when applying for dual-use goods licenses.[1]
- **Qatar:** Halted liquefied natural gas production after intercepting two Iranian drones targeting energy facility in Ras Laffan Industrial City, major LNG hub for one of world's top exporters. Attack marks dangerous inflection point bringing Mideast conflict to energy industry, with European natural-gas prices surging 40% as Qatar is big customer for continent.[1]
- **United States:** OpenAI CEO Sam Altman told staff company working on Pentagon deal to deploy AI models in classified environments while maintaining safety guardrails, hoping to help resolve standoff between Anthropic and Defense Department. Altman said in memo company would ask for contract covering any use except unlawful purposes or those unsuited to cloud deployments like domestic surveillance and autonomous offensive weapons.[1]
- **United States:** Section 122 of Trade Act of 1974 allows presidents to impose tariffs up to 15% for up to 150 days to address "fundamental international payments problems" without waiting for federal agency investigation. Trump invoked never-before-used statute after Supreme Court invalidated tariffs using emergency powers law, with congressional approval required to keep duties beyond 150 days.[1]

The Good News:

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- **Sugar Prices:** Raw cane sugar futures dropped to 14 cents per pound, the lowest since October 2020 and less than half their late 2023 peak. GLP-1 weight-loss medications like Wegovy and Ozempic are driving sharper-than-forecast consumption declines in wealthy economies by reducing cravings for sweet flavors, catching the sugar industry off guard.[2]
- **AI Drug Discovery:** Isomorphic Labs, Google DeepMind's pharmaceutical spin-off, unveiled IsoDDE, an AI model surpassing AlphaFold3's capabilities. The system achieves precise predictions of protein-drug interactions and antibody structures, impressing field scientists with its potential to accelerate pharmaceutical development beyond previous computational biology breakthroughs.[2]
- **Spina Bifida Treatment:** Six pregnant women received experimental in-utero therapy at 24-25 weeks gestation, with placental stem cells applied directly to fetuses' exposed spinal cords. All newborns delivered around 34 weeks showed reversed hindbrain herniation with no infections, fluid leakage, or tumor growth, offering hope for treating severe myelomeningocele affecting movement and continence.[2]

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Dividend Portfolio News:

- **A:** Reported mixed Q1 fiscal 2026 earnings with non-GAAP EPS of $1.36 missing estimates by $0.01 and revenue of $1.8B missing by $10M, while raising full-year EPS guidance. Management outlined $7.3B-$7.5B FY26 revenue targets and expansion of Ignite Operating System for margin growth amid disappointing quarterly results.[4]
- **ABT:** FDA reportedly considering staff bonuses to accelerate drug review processes, which could impact the medical device and pharmaceutical approval landscape for companies like Abbott Laboratories.[4]
- **GPC:** Upgraded by Raymond James citing attractive risk-reward profile, recognizing the auto parts distributor's valuation opportunity and business fundamentals.[4]
- **LMT:** Defense sector facing heightened activity with Pentagon inquiring about dependence on Anthropic's Claude AI. U.K. nearing decision on $1.4B Leonardo helicopter contract. Defense stocks volatile on U.S.-Iran tensions and recent sweeping strikes, with analysts discussing safe haven positioning.[4]
- **MATX:** Reported strong Q4 results with GAAP EPS of $4.60 beating by $0.91 and revenue of $851.9M exceeding by $4.6M. Announced 2026 operating income expected to approach $499.8M with strategic Southeast Asia expansion. Shipping sector monitored closely as Strait of Hormuz crisis intensifies, disrupting global supply chains.[4]
- **NEE:** Priced $2B equity units offering and separately announced plans to sell $2B of equity units in public offering, raising substantial capital for the utility's operations and growth initiatives.[4]
- **ORI:** Raised dividend by 8.6% to $0.315 per share, reflecting strong capital position and commitment to shareholder returns at the insurance holding company.[4]
- **QCOM:** Upgraded by Wells Fargo based on data center strategy. Entered coalition ensuring 6G commercial systems operational by 2029. Mixed chip stock performance amid geopolitical tensions, though fundamental outlook remains positive with multiple catalysts identified.[4]
- **VLO:** EPA shifting at least half of waived biofuel obligations to major refiners per Reuters report, potentially increasing compliance costs for large refiners like Valero while reducing burden on smaller facilities in the biofuel mandate program.[4]

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Growth Portfolio News

- **AEM:** Gold stocks surged amid U.S.-Iran tensions following military strikes, with safe-haven demand driving precious metals higher as geopolitical risks escalated in the Strait of Hormuz region.[4]
- **CVX:** Chevron ordered to suspend production at Leviathan gas field offshore Israel due to regional conflict. Oil stocks surged on U.S.-Iran fighting threatening Strait of Hormuz flows. Australian LNG stocks rallied on supply disruption concerns. Greg Abel emphasized Berkshire's prudent business approach.[4]
- **NVDA:** Morgan Stanley moved NVDA back to top semiconductor pick over Micron. Received analyst upgrades. OpenAI confirmed $110B funding with $50B from Amazon and $30B from NVDA. Telecom firms committed to 6G development on AI-native platforms. Lumentum and Coherent jumped on NVDA partnerships. ASML plans advanced AI chip packaging tools.[4]
- **TSM:** ASML plans to build advanced packaging tools for AI chips, directly benefiting TSM's manufacturing capabilities. Tech firms face margin pressure from rising memory costs. Baron Durable Advantage Fund adjusted semiconductor holdings including TSM in Q4.[4]

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Summary:

In regard to the United States Economy, manufacturing showed renewed strength with ISM hitting 52.4 and order backlogs rising after 39 months of contraction, though producer prices jumped 0.5% amid machinery cost surges. Tariff policy remained volatile as the Supreme Court invalidated emergency tariffs before new duties took effect, keeping 2025's average at the highest since 1947. Equity markets rotated from technology into defensive sectors, while earnings estimates climbed to 13.3% growth across all eleven sectors.

In the world of digital assets, Iran constructed a $7.8 billion cryptocurrency infrastructure to evade U.S. sanctions, representing significant state-level adoption for circumventing banking restrictions. Potential mid-2026 passage of the Clarity Act could unlock institutional capital, while traditional banks resist interest-bearing stablecoins as threats to deposit models. Bitcoin's hash rate recovered to 913 exahashes after a 20% decline, and USDC circulation reached $75 billion reflecting growing confidence in regulated stablecoins.

Recently around the globe, U.S.-Israeli strikes killed Iran's Supreme Leader Ayatollah Khamenei and top officials, triggering the largest American military buildup since 2003's Iraq invasion. Qatar halted LNG production after Iranian drone attacks, sending European gas prices surging 40%, while Iran's oil loadings had surged to nearly 3.78 million barrels daily beforehand. Canada signed a $1.91 billion uranium deal with India, Germany approved reduced drone purchases, and China imposed export controls on Japanese firms.

For the good news, raw sugar prices dropped to four-year lows as GLP-1 weight-loss medications sharply reduced consumption in wealthy economies. Google DeepMind's Isomorphic Labs unveiled IsoDDE, an AI model surpassing AlphaFold3's capabilities in predicting protein-drug interactions with potential to accelerate pharmaceutical development. Six pregnant women received experimental in-utero spina bifida therapy using placental stem cells, with all newborns showing reversed hindbrain herniation and no complications.

In the news for the dividend portfolio, NextEra Energy raised $4 billion through equity unit offerings while Old Republic increased its dividend 8.6% reflecting strong capital position. Matson reported strong quarterly results beating estimates with Southeast Asia expansion plans, though shipping faces supply chain disruptions. Defense stocks experienced volatility amid U.S.-Iran tensions, while Valero may face increased biofuel compliance costs as EPA shifts waived obligations to major refiners.

And, for the growth portfolio, gold miners surged on safe-haven demand following U.S.-Iran military strikes while Chevron suspended Israeli gas production amid regional conflict. NVIDIA returned as Morgan Stanley's top semiconductor pick, secured $50 billion from Amazon in OpenAI's $110 billion funding, and benefited from ASML's plans for advanced packaging tools. Taiwan Semiconductor gains exposure to these developments while tech firms navigate rising memory costs.

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